

Retail Research	IPO Note
Sector: Consumer Durable Components	Price Band (Rs): 209 - 220
24 th September 2024	Recommendation: Subscribe for Long Term

KRN Heat Exchanger & Refrigeration Ltd.

Company Overview:

KRN Heat Exchanger & Refrigeration Ltd. is a leading manufacturer of fin and tube-type heat exchangers for the HVAC&R industry. The heat exchangers are constructed using high-quality non-ferrous metals, primarily copper and aluminum. The company's extensive product line includes condenser coils, evaporator units, evaporator coils, header/copper parts, fluid and steam coils, and sheet metal parts. KRN specializes in producing heat exchangers of various shapes and sizes to meet the specific requirements of its customers and the dynamic demands of the market.

Key Highlights:

1. Wide range of product applications: The company's product range includes condenser coils, evaporator units, evaporator coils, header/copper parts, fluid and steam coils, and sheet metal parts. KRN specializes in producing heat exchangers of various shapes and sizes to meet the specific requirements of its customers and the dynamic demands of the market. These products are well suited for a wide range of air conditioning, heating, and ventilation, refrigeration and process cooling applications.

2. Strong customer base with long-standing association: The company has a long-standing association with its customer base that spans various parts of India and the world. It serves prestigious customers such as Daikin Airconditioning India Private Ltd, Schneider Electric IT Business India Private Ltd, Kirloskar Chillers Private Ltd, Blue Star Ltd, Climaventa Climate Technologies Private Ltd, and Frigel Intelligent Cooling Systems India Private Ltd, among others.

3. Focus on forward integration through subsidiary: KRN has established a wholly-owned subsidiary, **KRN HVAC Products Private Ltd** to expand the company's business and take advantage of forward integration. This new subsidiary will focus on producing specific types of heat exchangers that are not currently manufactured by the company such as Bar & Plate Heat Exchanger, Oil Cooling Unit with Blower & Motor, and Roll Bond Evaporator. These products will have applications in railway locomotives, defense vehicles, automotive vehicles, oil rigs, mining equipment and refrigerators thereby adding value to the existing product portfolio.

Valuation: At the upper price band of Rs 220, the company is valued at FY24 P/E multiple of 35.0x based on its post issue capital. The issue appears attractive given the healthy growth track record of the company. KRN's Revenue/EBITDA/PAT has grown at a CAGR of 40.5%/86.1%/92.1% respectively over FY22-24. The IPO proceeds will be utilized by the company to fund for establishing a new manufacturing unit in Rajasthan which will help expand its product portfolio and distribution channel. We recommend subscribing to the issue for long term investment horizon.

Issue Details	
Date of Opening	25 th September 2024
Date of Closing	27 th September 2024
Price Band (Rs)	209 - 220
Offer for sale (Rs cr)	-
Fresh Issue (No. of shares)	1,55,23,000
Issue Size (Rs cr)	341.5
No. of shares	1,55,23,000
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	1,299 – 1,367
BRLMs	Holani Consultants Private Ltd.
Registrar	Bigshare Services Private Ltd.
Bid Lot	65 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NII shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Investment in wholly owned subsidiary, KRN HVAC Products Private Ltd. in the form of equity for setting up a new manufacturing facility at Neemrana, Alwar, Rajasthan	242.5
General corporate purposes ⁽¹⁾⁽²⁾	-
Total proceeds from fresh issue	-

(1) To be finalized upon determination of the Offer Price and will be updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

(2) The company raised Rs 9.54 cr through pre-IPO placement which will be utilized for General Corporate purposes. The Fresh Issue size disclosed in the DRHP has been reduced by 4,77,000 equity shares.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	4,39,99,980	94.4
Public & Others	26,13,620	5.6
Total	4,66,13,600	100.0

Post Issue @ Lower Price Band	No. of Shares	%
Promoter & Promoter Group	4,39,99,980	70.8
Public & Others	1,81,36,620	29.2
Total	6,21,36,600	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	4,39,99,980	70.8
Public & Others	1,81,36,620	29.2
Total	6,21,36,600	100.0

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24
Revenue from operation	156.1	247.5	308.3
EBITDA	16.9	49.3	58.5
PAT	10.6	32.3	39.1
EBITDA Margin (%)	10.8	19.9	19.0
PAT Margin (%)	6.8	13.1	12.7
ROE (%)	41.5	54.2	29.7
ROCE (%)	34.6	50.5	31.2
PE (x)*	95.8	31.4	26.0

**Note: Pre-issue PE based on upper price band
Numbers for FY22 & FY23 represent Standalone figures
Source: RHP, SSL Research*

Risk Factors

- **High customer concentration:** There are limited brands that operate in the Indian HVAC Industry, leaving the company dependent on a limited number of customers for its business. In FY24, KRN derived almost 33% of its revenue from a single customer, Daikin Airconditioning. The company's top 10 customers also accounted for nearly 72% of the total revenue during the same period. Hence, any delay or cancellation of orders may have a material impact on the company's business.
- **Raw material supply risk:** The company relies on third-party suppliers for raw materials such as copper foil, aluminum sheets and stainless steel. Any delay or quality issues with the suppliers could lead to delayed customer deliveries and financial impacts. KRN is heavily dependent on overseas suppliers for quality materials. The company imported nearly 78% of its raw material requirements in FY24. Thus, any supply shortfall, cost increases, or country-specific challenges may negatively impact KRN's business.
- **Industry & backward integration risk:** The sales of heat exchangers and their components are directly related to the production and sales of air conditioners, refrigerators and similar products by the company's customers. Any economic downturn or recession in the HVAC industry, both domestically and in export markets, may significantly affect KRN's business & financial condition. Additionally, if any of the company's top customers start manufacturing heat exchangers in-house, it may lead to an adverse impact on KRN's sales.

Growth Strategies

- To expand customer base by tapping into newer markets.
- To enhance existing product portfolio and quality.
- To expand global footprint and to augment growth in existing geographies

KRN HVAC Products Private Ltd

To expand the company's business and to take advantage of forward integration, the company established a wholly-owned subsidiary namely, **KRN HVAC Products Private Ltd** to focus on producing specific types of heat exchangers that are not currently manufactured by the company. Through this venture, KRN aims to expand its presence in distribution channels which will in turn allow the company to better control the marketing and distribution of the complete product range of heat exchangers. This move also aligns with the company's goal to capture a greater share of the value chain and establish direct connections with end customers.

KRN HVAC Products will manufacture products like Bar & Plate Heat Exchanger, Oil Cooling Unit with Blower & Motor and Roll Bond Evaporator. These products will command applications in railway locomotives, defense vehicles, automotive vehicles, oil rigs, mining equipment and refrigerators thereby adding value to the company's existing product portfolio.

The company will look to utilize the net proceeds from the issue for investment purposes in the subsidiary w.r.t setting up a new manufacturing facility at Neemrana, Rajasthan.

Products that will be manufactured by KRN HVAC Products Pvt Ltd:

Sr. no	Products	Use Case
1	Bar & Plate Exchanger	1. Used in railway locomotives for transformers and convertor oil coolers
		2. Used in screw & centrifugal air compressors as air coolers
		3. Used as metro train engine cooling unit and transmission oil cooling unit
		4. Used in defense vehicles (Tanks) as the radiator and oil cooler
		5. Used as charge air coolers and oil coolers of diesel engines or DG sets
		6. Used as an oil cooler for heavy earth-moving vehicles
		7. Used in oil rigs and mining equipment
2	Oil Cooling Unit with Blower & Motor	1. Used as a cooling unit for locomotives/railways
		2. Used in automotive vehicles as a cooling unit
3	Roll Bond Evaporator	1. Used in refrigerators as an evaporator/freezer

Source: RHP, SSL Research

End use of products currently manufactured by KRN Heat Exchanger:

Sr. no	Application	Sub Category
1	Air Conditioning	Residential AC, Cassette type HVAC, Fan Coil Unit, Commercial HVAC, Data Centre Cooling, Precision Air Conditioning, Railway/Metro HVAC, Automotive HVAC, Defence Air Conditioning
2	Refrigeration	Commercial Refrigeration, Water Coolers, Chest Freezers, Beverage Coolers, Vending Machines
3	Process cooling	Civil and Construction
4	White goods	Cloth Dryer/Washing Machine
5	Others	Dry air cooler, Swimming pool heat pump, Medical Equipment

Source: RHP, SSL Research

Revenue Split - Geographical

Continents	FY22		FY23		FY24	
	Rs cr	% of total revenue	Rs cr	% of total revenue	Rs cr	% of total revenue
Domestic Revenue	141.2	90.4	219.3	88.6	263.0	85.3
Export Revenue						
Europe	1.0	0.6	6.2	2.5	7.9	2.5
North America	0.1	0.1	7.5	3.1	10.7	3.5
Asia*	13.8	8.9	14.5	5.8	26.7	8.7
Total Export Revenue	14.9	9.6	28.2	11.4	45.3	14.7
Total Revenue	156.1	100.0	247.5	100.0	308.3	100.0

*Does not include domestic sales

Source: RHP, SSL Research

Revenue share – Product Wise

Key Products	FY22		FY23		FY24	
	Rs cr	% of total revenue	Rs cr	% of total revenue	Rs cr	% of total revenue
Evaporator Coils	51.4	33.0	71.5	28.9	115.6	37.5
Condenser Coils	99.5	63.7	152.3	61.5	170.3	55.2
Headers/Copper Parts	0.6	0.4	1.8	0.7	4.7	1.5
Sheet Metal Parts	0.1	0.0	0.2	0.1	0.1	0.0
Others*	4.6	2.9	21.7	8.8	17.6	5.7
Total Revenue	156.1	100.0	247.5	100.0	308.3	100.0

*Includes sale of other HVAC parts like Tubing, Copper pipes, etc.

Source: RHP, SSL Research

Product wise Installed capacity (units) & utilization (FY24)

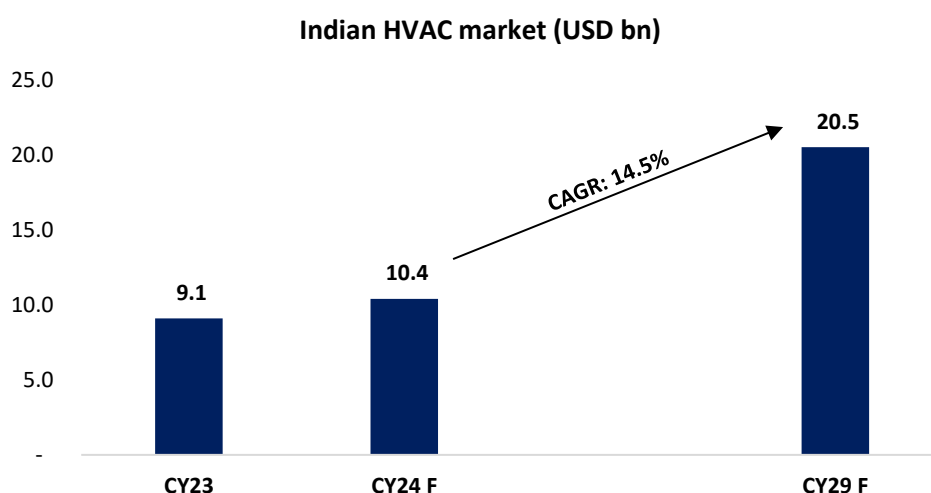
Product Name	FY22		FY23		FY24	
	Capacity	Utilization (%)	Capacity	Utilization (%)	Capacity	Utilization (%)
Evaporator & Condenser Coils	5,48,412	60.8	5,66,551	74.0	5,66,551	84.1
Headers/Copper Parts	6,18,667	58.2	6,18,667	78.5	6,18,667	84.5
Sheet Metal Parts	5,56,800	60.0	5,56,800	75.8	5,56,800	85.8

Source: RHP, SSL Research

Industry Overview

Indian Heating, Ventilation and Air Conditioning (HVAC) Industry:

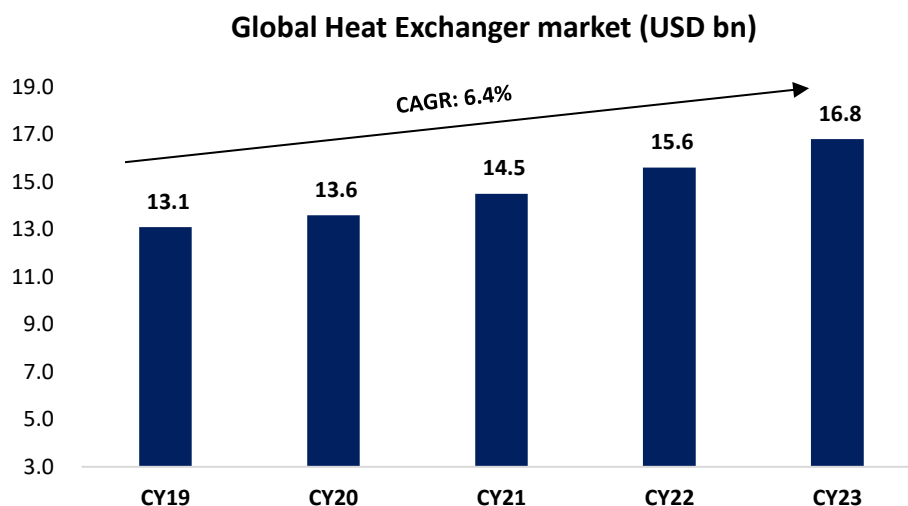
The Indian HVAC market was valued at USD 9.1 bn in CY23; experiencing a shift towards energy-efficient systems, driven by rising energy costs and environmental concerns. Going ahead, the Indian HVAC market is anticipated to grow at a CAGR of 14.5% during the forecast period CY24-CY29; to reach a value of USD 20.5 bn by CY29 on the back of growing awareness regarding indoor air quality, and need for improved ventilation & air purification. The Indian government's focus on infrastructure development, smart cities, and sustainable building practices is further expected to increase the demand for HVAC systems. Initiatives like Make in India, which promote domestic manufacturing, have also contributed to the growth of the HVAC industry by encouraging local production and reducing dependency on imports.



Source: RHP, SSL Research

Global & Domestic Heat Exchanger Market:

The Global Heat Exchanger market was valued at USD 16.8 billion in CY23, experiencing a CAGR of 6.4% from CY19 to CY23; with the push towards sustainable, low-energy consumption solutions shaping the market's performance and future. In India, the heat exchanger market reached a value of USD 689 million in CY23, with a CAGR of 10% from CY19 to CY23 on the back of rapid industrialization, urbanization, and a strong push for infrastructure development.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	156	247	308
YoY growth (%)	-	58.5%	24.6%
Cost Of Revenues (incl Stock Adj)	123	176	222
Gross Profit	33	71	86
Gross margins (%)	21.4%	28.8%	27.9%
Employee Cost	6	9	13
Other Operating Expenses	10	13	14
EBITDA	17	49	58
EBITDA margins (%)	10.8%	19.9%	19.0%
Other Income	2	2	5
Interest Exp.	2	3	4
Depreciation	3	3	4
PBT	15	45	56
Exceptional item/Extraordinary item	-	-	-
Tax	4	13	17
PAT	11	32	39
PAT margin (%)	6.8%	13.1%	12.7%
EPS	2.3	7.0	8.5

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	21	32	52
Capital WIP	-	-	4
Right of use assets	-	-	30
Other Intangible Assets	-	-	-
Other Non-current Assets	-	1	1
Current Assets			
Inventories	21	55	84
Current Investment	-	-	-
Trade receivables	30	39	52
Cash and Bank Balances	14	16	16
Short-term loans and advances	1	1	1
Other Current Assets	5	6	17
Total Current Assets	71	116	171
Current Liabilities & Provisions			
Trade payables	40	49	37
Other current liabilities	4	2	1
Short-term provisions	1	1	1
Total Current Liabilities	45	52	39
Net Current Assets	26	64	132
Total Assets	48	97	219
Liabilities			
Share Capital	4	44	46
Reserves and Surplus	21	16	86
Total Shareholders' Funds	26	60	132
Minority Interest	-	-	-
Total Debt	22	37	60
Long Term Provisions	-	-	1
Lease Liabilities	-	-	27
Other Long-Term Liabilities	-	-	-
Net Deferred Tax Liability	-	-	-
Total Liabilities	48	97	219

Cash Flow (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	4	5	3
Cash flow from Investing Activities	(3)	(14)	(66)
Cash flow from Financing Activities	3	11	66
Free Cash Flow	(3)	(14)	(58)

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets	11.4%	21.7%	15.1%
Return on Capital Employed	34.6%	50.5%	31.2%
Return on Equity	41.5%	54.2%	29.7%
Margin Analysis			
Gross Margin	21.4%	28.8%	27.9%
EBITDA Margin	10.8%	19.9%	19.0%
Net Profit Margin	6.8%	13.1%	12.7%
Short-Term Liquidity			
Current Ratio (x)	1.3	1.6	1.8
Quick Ratio (x)	0.9	0.8	0.9
Avg. Days Sales Outstanding	70	57	62
Avg. Days Inventory Outstanding	50	81	100
Avg. Days Payables	94	73	43
Fixed asset turnover (x)	7.3	7.7	5.9
Debt-service coverage (x)	0.7	1.2	0.9
Long-Term Solvency			
Total Debt / Equity (x)	0.9	0.6	0.5
Interest Coverage Ratio (x)	10.7	15.9	15.0
Valuation Ratios*			
EV/EBITDA (x)	60.4	21.0	18.1
P/E (x)	95.8	31.4	26.0
P/B (x)	39.8	17.0	7.7
EV/Sales (x)	6.6	4.2	3.4

**Valuation ratios are based on pre-issue capital at the upper price band
Numbers for FY22 & FY23 represent Standalone figures
Source: RHP, SSL Research*

Peer Comparison – FY24

Particulars (Rs cr)	KRN Heat Exchanger	Amber Enterprises	PG Electroplast	Epack Durable
CMP	220.0	4,994.6	612.0	403.2
Sales	308.3	6,729.0	2,746.0	1,420.0
EBITDA	58.5	491.0	262.0	115.0
Net Profit	39.1	139.0	135.0	35.0
Mkt Cap.	1,367.0	16,872.0	16,229.0	3,709.0
Enterprise Value	1,069.2	17,615.0	16,408.0	3,934.0
EBITDA Margin (%)	19.0	7.3	9.5	8.1
Net Margin (%)	12.7	2.1	4.9	2.5
PE (x)	35.0	126.6	118.4	109.3
EV/EBITDA (x)	18.3	35.9	62.6	34.2
RoE (%)	29.7	6.7	18.9	5.9
RoCE (%)	31.2	10.2	18.7	8.3
EV/Sales	3.5	2.6	6.0	2.8

For KRN Heat Exchanger & Refrigeration Ltd, the Market Cap, PE (x), Enterprise Value, EV/EBITDA (x), and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as of 23rd September, 2024.

Source: RHP, SSL Research

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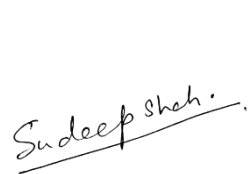
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